manage anything beyond the simplest tax filing. The rules change constantly, and the pros understand what is new, what is important, and what is illegal.

Your tax advisor and financial planner will help locate your assets in the right kinds of accounts—ETFs can go anywhere, but you want mutual funds (and their phantom capital gains taxes) ONLY in qualified, tax-deferred accounts. Your tax pro can also discuss whether a Roth conversion makes sense for you or whether Health Savings Accounts (HSAs) are appropriate.

Please don't wait until April 14 to engage them. Good tax planning requires months and sometimes years of advance notice. Staying on the taxman's good side is easy, but it requires some knowledge and effort—the professionals can help.

2. Capital gains taxes

The single biggest area where a skilled advisor and knowledgeable accountant can make a huge difference. Some issues are obvious—make sure your gains are long term (not short term) and avoid wash sales.

But the biggest impact I see is in tax loss harvesting. If you are selling a business or property, have IPO or founders' shares, employee stock options, an inheritance, or just highly appreciated equities, tax loss harvesting is potentially a big money-saver for you. The way this is usually managed is by selling whatever ETFs or mutual funds you hold that are negative for the year and replacing them with similar funds. The loss is booked, and it can offset some of the gains of whatever profitable sales you made. When you own funds, the losses tend to be limited; when you own a portfolio of individual equities, you have more options. (In the next chapter, I go into detail about how direct indexing is beneficial to those fortunate investors sitting on big gains.)

You can use $3,000 of your capital losses against ordinary income each